

In those days, there was no electronic marketplace. In order to buy or sell OTC securities, one had to phone around to different brokerage firms and check the bid/offer spreads maintained by each of their market makers. A top-notch OTC market maker could become a terrific profit center for a firm. This was not only because the bid/offer spreads of OTC securities were sometimes large enough to drive a small vehicle through them. The best OTC market makers also profited from their acumen in maintaining large inventories of OTC stocks. They could slant their bids and offers to end up with larger positions in stocks they really liked, and smaller or short positions in those they disliked. Bob was one of the very best stock pickers in the business. Top institutional investors would deal with him in order to find out his view of the stocks they were interested in, as well as to be able to execute their trades in the large, liquid inventories that Bob routinely maintained.

Smith Barney was proud to have Bob onboard. They sent him around to all their offices so representatives could learn more about Bob and feel comfortable directing business his way. Soon after the merger, Bob came around to our office to introduce himself and explain what he could do for us. It was not Bob and what Bob did that opened my eyes, but rather it was the story that he told us.

Bob arrived about an hour before lunch and gave an impressive presentation explaining some of the finer points of OTC market making. It was obvious to everyone there why Bob was so admired and respected. One of my colleagues complimented Bob on his superior trading ability and his profit-generating capability. Bob thanked him, sat back in his chair, paused a moment, then casually remarked, “Yes, I’ve done well, but would you like to hear about someone who has done better than me? In fact, this person has done better in the market than anyone else I know.”

We all quickly sat back down. Bob had our complete attention. As we stared at him inquiringly, Bob continued, “The best investor I know—one who has outperformed all the professional money managers I’m familiar with—is my wife, Dee. Would you like to hear how she does it?”

Sasquatch could have walked into the room, and no one would have noticed. Here was Bob, one of the industry’s top traders and market makers, who did business with some of the world’s best money managers, telling us